whose citizens have liberal ideals are less biased toward domestic equity. Their data from 30 countries suggested that economic as well as social liberalism is associated with proportionally higher foreign equity holdings. The results held true even after controlling for standard rational and behavioral explanations of the home equity bias, as well as country and time fixed effects. In today's investing world, investors should hold the world market portfolio in some proportion depending upon their unique circumstance. Regardless, some investors ignore the currency and diversification benefits of international equity investing and hold portfolios that are concentrated disproportionately on domestic equity. This is known as *home equity bias* and has been documented by several studies[6] [see French and Poterba[7] (1990), Cooper and Kaplanis[8] (1994), etc.] Putting aside real potential problems such as taxes and capital restrictions, foreign accounting issues, and differing legal environments that might make foreign investments unattractive, these information costs also appear to be small when compared to the potential benefits of international diversification [See Lewis[9] (1999)].

The home equity bias is one of the big, yet to be fully understood puzzles in financial economics. This is largely because the potential rational explanations that have been proposed so far cannot fully account for its magnitude. In an attempt to explain why investors forgo important diversification benefits associated with international investing, researchers have more recently been adding variables to their empirical specifications that proxy for behavioral factors such as familiarity and patriotism. In this paper, the authors are trying to find reasons why a given set of people might not be susceptible to this bias. They examined whether liberalism (or conservatism) has any incremental explanatory power with respect to the level of the home equity bias. They made a distinction between social and economic liberalism not only because these are different notions per se, but also because they suspected that each one may separately affect people's investment behavior. Using data from 30 countries, we then examine if these metrics help to explain the home equity bias after controlling for the level of a country's degree of liberalization, the potential cost of information acquisition, the country's risk-adjusted average stock market return, and the familiarity of the country's residents with foreign cultures and their level of patriotism. They found that liberal societies, in both the economic and social sense, are conditionally less biased toward domestic stock. The effect is economically significant: a one standard deviation increase in our social (economic) liberalism metric is associated with a 2 percent (5 percent) drop in the level of home equity bias. They interpret these results as evidence that people's investment decisions are influenced by their core beliefs about the economy and the society in which they live. It may come as no surprise that societies